TEMPLATE P35 · AI THESIS AND RISK APPETITE

AI thesis and risk appetite

Board decision document in C2: AI thesis, ambition per sphere, risk appetite, thresholds, horizons, portfolio bands, time limits, red lines, framework budget, indicator selection and threshold version register.

Fernando García Varela Version 0.1 (working draft) 19-09-2026 Draft for review

IN THIS DOCUMENT

01 Instructions for use

02 Identification

03 Proposed resolutions

04 AI thesis

05 Ambition per sphere

06 Risk appetite

07 Economic thresholds

08 Return horizon and portfolio balance

09 Time limits

10 Red lines

11 Framework budget

12 Monitoring targets, review and validity

13 Approved indicator selection

14 Threshold version register

15 Quality criteria

16 Approval and verification

17 Version control

Legal notice and disclaimer. SEVEN-G is a reference methodological framework provided "as is" and for information purposes only. It does not constitute legal, regulatory, financial or professional advice, nor does it guarantee compliance with any law or standard. References to general regulation (such as the EU AI Act, the GDPR, DORA or NIS2), to technical standards and to regulation specific to each sector or jurisdiction may be incomplete, may not apply to a particular case or may become out of date as a result of regulatory changes, interpretations or supervisory positions after their consultation date. **Each organisation that uses SEVEN-G is solely responsible for identifying the regulation that applies to it, verifying that it is current and certifying its own regulatory compliance**, with the appropriate qualified advice. This methodology is a generic, free aid shared with the community so that nobody has to start from scratch; each person or organisation can and should adapt it to its own use. It must not be inferred that its legally sensitive parts have been reviewed by legal counsel: those reviews, for each company or sector, are the ultimate responsibility of the company, consultant or organisation that uses it. Although every effort is made to keep it up to date, some regulation may have changed without being reflected here. To the fullest extent permitted by law, the author accepts no responsibility whatsoever for the effects of its application in any organisation or for its full applicability. The methodology does not grant certification of any kind. The author accepts no liability for any use made of this content or for any decisions taken on the basis of it. The data, figures, companies and cases in the examples are fictitious or illustrative.

> **Why it matters.** The whole framework decides using the parameters that the board approves here: which initiative fits the thesis at G0, when an initiative is Enterprise, what residual risk may be accepted, what return is required at each *gate* and how much is invested in each lane. If they are not approved and versioned, each body interprets them in its own way, thresholds are changed to improve a result and the portfolio executes no direction at all. It is tool T19 and the evidence for questions D1.05 and D1.06 in document 11.

01

Instructions for use

Aspect	Guidance
When it is used	In C2: in the first implementation, within the 90 days (90 §4.3 and §4.4); thereafter, annually after C5 and on an extraordinary basis when a trigger occurs (13 §13).
Who completes it	Senior management, with the AI Office, risk, compliance, management control and people.
Who verifies it	The AI Auditor or internal audit, against the criteria in section 15, before approval.
Who decides or approves	The board of directors, or the committee with delegated powers.
Corporate cycle stage	C2 · Direction. Input: C1 diagnosis report (P33). Output: parameters for C3 (P36) and for the tools.
Tool	T19 · AI thesis and risk appetite template. After approval, T01, T04, T06, T14, T16 and T17 are updated (13 §13) and the decision is recorded in T18.
Reference document	Document 13, which contains the method, the rules and the indicative values. This template extracts its annex (13 §15) and does not modify it. The indicator selection follows document 41 (§1, §5, §19 and §20).
Lite versus Enterprise	Fields marked **(Enterprise)** may be omitted in organisations that apply only Lite intensity, with justification.

Completion rules:

- Where "indicative value" is indicated, the value in document 13 is used as a starting point and replaced by the approved value.
- The likelihood, impact and risk level scales and the responses are those in document 33: this decision sets where the company stands, it does not modify them.
- The appetite grade of a category may **tighten** the general rule for accepting residual risk, **never relax it** (13 §5.2).
- The approved time limits may not exceed those laid down by applicable regulation.
- Each version is identified by number and date; the previous one is retained (13 §13).

02

Identification

Field	Content	Guidance
Company or group		Corporate perimeter to which the decision applies.
Approving body		Board of directors or committee with delegated powers.
Session date		DD-MM-YYYY.
Document version		1.0 on first approval; incremented at each review.
Identifier in the decisions register (T18)		DEC-AAAA-NNN (document 62).
Prepared by		Name and position.
Verified by		AI Auditor or internal audit; different from the preparer.
Reference C1 report		Code, date and version of P33.

03

Proposed resolutions

No.	Resolution	Guidance
1	The AI thesis in section 4 is approved.	One resolution per component, in the form "... is approved".
2	The ambition per sphere in section 5 is approved.	

No.	Resolution	Guidance
3	The risk appetite by category and its tolerance metrics in section 6 are approved.	
4	The thresholds in sections 7 and 8 are approved.	
5	The time limits in section 9 are approved.	
6	The red lines in section 10 are approved.	
7	The framework budget in section 11 is approved.	
8	The monitoring targets and the validity in section 12 are approved.	
9	The indicator selection in section 13 is approved.	
10	The threshold version in section 14 is approved.	

04

AI thesis

Structure and quality criteria in 13 §3. Two to four pages; it must be usable to say no to an initiative.

Field	Content	Guidance
Context		How AI changes the rules of the sector. Why now?
Role of AI in the strategy		Relative weight of efficiency, growth and operating model.
Where we play		Refers to section 5.
What we will not do		At least three specific renunciations.
Position on people		Replace, augment or reorganise, by area, with commitments.
Enabling conditions		Data, knowledge, capabilities, platform, suppliers.
Principles		Refers to the corporate policy (document 31).
How we will know it is working		Target profile, target maturity, validated value and net value, with horizon.

05

Ambition per sphere

Rules in 13 §4.2. At most three high-priority spheres; every sphere with Transform has an envelope and a candidate.

Sphere	Priority (High · Medium · Low · Non-priority)	Level achieved (C1)	Target ambition	Horizon (months)	Main indicator (current → target)	Owner
01 · Customer						
02 · Product and service						
03 · People						
04 · Operations						
05 · Data						
06 · Knowledge						
07 · Decision						
***(illustrative example)* 04 · Operations**	High	Optimise	Optimise	12	IE04.06 Validated materialised savings: €1.80M → €2.50M	Operations director

For spheres 08 and 09 a grade is set, never an ambition level.

Sphere	Dimension	Current grade	Target grade (Absent · Basic · Systematic · Advanced)	Horizon	Indicator	Owner
08	Compliance					
08	Anticipation					
08	Ethical leadership					
09	Structure					
09	Speed and control					

Sphere	Dimension	Current grade	Target grade (Absent · Basic · Systematic · Advanced)	Horizon	Indicator	Owner
09	Supplier ecosystem					

06

Risk appetite

6.1 Grade and statement by category

Grades in 13 §5.2: **Averse · Cautious · Moderate · Open**. Recommended starting grades in 13 §5.3. The exceptional acceptance of a Critical risk permitted by the Open grade is not permitted in LEG or SEG (13 §5.2).

Code	Category	Grade	Statement	Owner
EST	Strategic			
TEC	Technical			
DAT	Data			
ECO	Economic			
LEG	Legal and compliance			
ORG	Organisational			
REP	Reputational			
GEN	Generative AI and agents			
SEG	Security and offensive AI			
TER	Third parties			

6.2 Tolerance metrics

At least one metric per category, with formula, tolerance (amber) and limit (red). Starting catalogue in 13 §5.3; escalation in 13 §5.5. "—" in amber indicates zero tolerance.

Category	Metric	Formula	Tolerance (amber)	Limit (red)	Source	Frequency
(illustrative example) **TER**	Supplier concentration	Spend on main model supplier ÷ total spend on models × 100	> 60 %	> 80 %	T09, T13	Quarterly

07

Economic thresholds

7.1 Economic impact thresholds

Proportionate to size, on a stable reference measure (13 §5.4). Used by the risk matrix (P12, T06).

Field	Content	Guidance
Reference measure and value		EBITDA, revenue, equity or budget; reference financial year.
Impact 1 · Negligible		Proportion and euros.
Impact 2 · Minor		
Impact 3 · Moderate		
Impact 4 · Major		
Impact 5 · Critical		

7.2 Investment and materiality thresholds

Field	Content	Guidance
Enterprise investment threshold		Total three-year cost; indicative value 0.5 % of EBITDA (13 §6). Splitting an initiative to stay below it is a major nonconformity.
Materiality for individual reporting to the board		Indicative value 2 % of EBITDA.
Board approval threshold by amount (Enterprise)		Optional, according to delegation rules.

Field	Content	Guidance
Minimum scale in production (B3)		Indicative value 5.

08

Return horizon and portfolio balance

8.1 Return horizon

Indicative values and definitions in 13 §7 and document 40. At G3 the only economic feasibility criterion is NPV ≥ 0 with the horizon and rate set here.

Level	Criterion at G3	Time limit at G7	Guidance
Optimise			Indicative values in 13 §7.
Augment			
Transform			First-stage cap and milestone frequency.
Horizon and rate for NPV		—	Document 40.

8.2 Target portfolio balance

Field	Content	Guidance
Stance		Prudent, Balanced, Ambitious or own (13 §8).
Optimise band		Minimum and maximum percentage.
Augment band		
Transform band		Cannot start at 0 % if Transform is in the thesis (except in the first year).

09

Time limits

9.1 Reference time limits

Time limit	Lite	Enterprise	Guidance
Phase 0			Indicative values in 03 §3.6.
Phase 1			
Phase 2			
Phase 3			
Phase 4			
Phase 5			
Phase 7			
***Gate* decision**			Working days.
R6 frequency			No longer than every six months (Lite) or quarterly (Enterprise).
Regularisation of earlier initiatives			Months.
Pending regulatory classification			Days.
Maximum time limit for a *gate* condition			Until the next *gate*; at R6, indicative value 90 days (13 §9).

9.2 Nonconformity and incident time limits

Field	Containment	Action plan or communication	Reports to	Guidance
Critical nonconformity				Reference: 48 hours and 10 days.
Major nonconformity				Reference: 10 and 30 days.

Field	Containment	Action plan or communication	Reports to	Guidance
Minor nonconformity				Before the next *gate*.
S1 incident	—			Without prejudice to regulatory time limits, which always prevail (13 §10.2).
S2 incident	—			
S3 incident (Enterprise)	—			

10

Red lines

Field	Content	Guidance
Confirmation of the SEVEN-G minimum	Yes · No	Prohibited practices and table in 13 §11.2. The company may extend it, not reduce it.
Extensions to the table of non-delegable decisions		Decision, maximum autonomy (A0–A3) and reason.
The company's own red lines		Examples in 13 §11.3. Only the board may modify them.

11

Framework budget

Envelope	Amount	% of total	Guidance
Optimise			Within the band in section 8.2.
Augment			
Staged Transform			Approved stages and stages pending release.
Enablement			Includes spheres 08 and 09.
Committed recurring cost			Budgeted in full.

Envelope	Amount	% of total	Guidance
Adoption and training			Explicit, not residual.
Contingency			
Total		100 %	
Reallocation rules			Committee and board limits (13 §12).

12

Monitoring targets, review and validity

Indicator	Current value (C1)	Target	Horizon	Guidance
Transformation index profile				Document 12.
Overall maturity level and priority dimensions				Document 11; references in 11 §8.
Proportion of validated value				Condition B2.
Annual net value of the portfolio				Document 40.

Field	Content	Guidance
Validity		Until the next version is approved.
Planned annual review date		After C5 (P37).
Additional triggers for extraordinary review		In addition to those in 13 §13.

13

Approved indicator selection

No company needs every indicator in the catalogue: they are selected in C2 according to the thesis, the portfolio and the intensity, and the selection is recorded (41 §1). Starting point: the recommended

minimum set for Lite (41 §19) and the selection for the board dashboard (41 §20). Thresholds marked "to be set" in the catalogue are approved here.

13.1 Catalogue indicators

Code (IND-FAM-NN)	Name	Target	Threshold or traffic-light reading	Frequency	Owner	Source	On the board dashboard (Yes · No)
(illustrative example) **IND-VAL-05**	Validated proportion	60 % within 24 months	Amber < 50 % · Red < 30 % (ECO metric in section 6.2)	Quarterly	Management control	T12	Yes
(illustrative example) **IND-RIE-02**	Systems in production without a *gate*	0	0 (critical nonconformity)	Monthly	AI Auditor	T02 · T03	Yes

Check of the selection	Yes · No
It includes the minimum set in 41 §19, or justifies each exclusion.	
It includes, for the board dashboard, the blocks in 41 §20 that apply.	
Each speed or automation indicator has its contrasting quality or risk indicator (41 §2, rule 7).	
Value indicators show their validated proportion (41 §2, rule 4).	

13.2 The company's own indicators

Each own indicator is documented with the record in 41 §5 and approved by the AI Office with the clearance of management control (41 §2, rule 8). Its selection is recorded here.

Code	Name and definition	Formula	Unit	Target	Threshold	Frequency	Owner	Source	Contrasting indicator	Record 41 §5 compl (Yes · N

14

Threshold version register

Thresholds **are not changed within the annual cycle**; they are recalibrated in C5 with the company's own data and approved by the board (12 §8; 13 §13). Each calculation of the index, the heat map or the traffic light records the threshold version it used. Version 0.1 is that of the framework's indicative values.

Versioned parameters

Parameter	Source document	Current version	Deviation from the framework value (Yes · No)
Thresholds for the signals and conditions of the transformation index	12 §4.3 and §4.5		
Heat map colour thresholds and markers	10 §8.1		
Programme traffic light	14 §12.1		
Maturity dimension weights	11 §2.3		
Economic impact, investment and materiality thresholds	Sections 7.1 and 7.2		
Reference time limits	Section 9.1; 03 §3.6		
Tolerance metrics	Section 6.2		

Change history

Version	Parameter	Previous value	New value	Justification with own data	Previous period recalculated (Yes · No)	Internal audit check: not proposed to improve the year's result	Approved by and date
***(illustrative example)* 0.2**	Signal 6 · AI-enabled revenue, level 2 threshold	0.5 %	0.3 %	Low-margin sector; distribution of four quarterly calculations	Yes	Conformant	Board, 15-12-2027

A company that declares that it applies SEVEN-G states its deviations from the framework's thresholds (12 §8).

15

Quality criteria

Criteria in 13 §14, which the AI Auditor or internal audit checks before approval.

#	Check	Status
1	Diagnostic basis: each component cites the C1 results on which it is based, with explicit "no data".	Met · Not met · Not applicable · Pending
2	Completeness: the twelve components in 13 §2 are present, or their absence is justified.	
3	Renunciations: the thesis includes what will not be done and there are non-priority or low-priority spheres.	
4	Ambition–budget consistency: every sphere with Transform has an envelope and a candidate; the bands are compatible with the thesis.	
5	No mixing of levels: spheres 08 and 09 have grades, not ambition levels.	
6	Measurable appetite: each category has a grade, a statement and at least one metric with formula, tolerance and limit.	
7	Proportionality: the economic thresholds are expressed on a reference measure and in euros.	
8	Regulatory limits: the time limits do not exceed the regulatory ones; the red lines include the minimum in 13 §11.	
9	Owners: each sphere and each category has an owner from senior management.	
Sphere map and ambition levels `(10)`	Review: there is an annual review date, triggers for extraordinary review and a recorded threshold version.	
Maturity model `(11)`	Indicators: the selection includes the minimum set in 41 §19 or justifies the exclusions, each indicator has a target, threshold, frequency, owner and source, and the company's own indicators have the record in 41 §5.	

16

Approval and verification

Function	Role in SEVEN-G	Name and position	Date	Signature or reference
Prepares	Senior management, with the AI Office			
Gives clearance on the risk appetite	Second line			
Verifies	AI Auditor or internal audit			Result: Conformant · Conformant with observations · Nonconformant
Approves	Board or committee with delegated powers			Reference to the minutes · DEC-AAAA-NNN
Records and communicates	AI Office			T18; parameters updated in the tools

Segregation of duties: whoever prepares the document does not verify it; approval of the thesis, risk appetite, framework budget and red lines is not delegated to any AI system (13 §11.2).

17

Version control

Completed document

Version	Date	Author	Changes

Template

Version	Date	Changes
0.1	19-09-2026	First version. Extracts the annex in 13 §15 (tool T19) as a fillable template, incorporates the quality criteria in 13 §14 and adds the approved indicator selection (41 §1, §5, §19 and §20) and the threshold version register in 12 §8 and 13 §13.